

BLDR — Pitch Deck (adjudicated 2026-08-23)

PITCH — BLDR — VERDICT

PROPOSED — PENDING ADJUDICATION — minimum starter 0.25% of book at \$72.00 or better (tape \$70.21), on a *sizing* thesis, not a conviction one: the challenge review's headline kill collapsed on arithmetic, but what survives it is a discount of roughly 5.8–6.7x mid-cycle earnings, not the 5.0–5.7x the original brief claimed.

*Two internal teams worked this: a **challenge team** whose job was to kill the idea, and a **rebuttal team** whose job was to attack the challenge team. Both got the identical evidence pack. Where they disagree, I say so below rather than picking a winner silently.*

What we believe

Builders FirstSource sells and manufactures building products to homebuilders. Its profitability moves with US single-family housing starts. The stock is at \$70.21, down 53.5% from its 52-week high of \$151.03 and 7.8% above its 52-week low of \$65.10. Enterprise value — market value of the shares plus debt, minus cash — is \$12.12B (107,596,457 shares; \$4,632.4M total debt; \$65.7M cash; net debt \$4,566.7M).

The belief is narrow and mechanical:

1. **Gross margin is tracking housing volume on a straight line, not eroding independently.** Three consecutive years fall almost exactly on it: 1,011,000 single-family starts → 32.8% gross margin (2024); 943,000 → 30.4% (2025); ~875,000 → ~28.0% (2026 guidance). That is about 2.4 points of margin per 70,000 starts, three years running. If margin were being competed away, the line would break. It hasn't.
2. **Therefore the margin loss is under-absorbed fixed cost, which reverses when volume does** — not price given away in a share war, which would not.
3. **At a normal 1.0–1.1M starts, mid-cycle earnings before interest, tax, depreciation and amortization (EBITDA) is roughly \$1.8–2.1B.** That is our own number, not management's. Management says \$2.1–2.4B; we think management is about 15% too rich. At \$12.12B enterprise value, we are paying 5.8–6.7x that.
4. **What the market pays today implies about \$1.5B** (\$12.12B ÷ 8x). The gap between \$1.5B and \$1.8–2.1B is the entire idea. Nothing else.

At 8x a \$1.95B mid-cycle number, the shares are worth about \$102 — roughly +45%. At the challenge team's \$1.5B, they are worth about \$69 — i.e. today's price. At \$1.3B, about \$54, or –23%.

What the market believes

That the trough is real and the recovery is uncertain, and it is paying a fair price for a mid-cycle number around \$1.5B.

- Analysts (25 covering) cut 2026 earnings per share from \$4.37 to \$3.71; Q3 2026 consensus is \$1.08. **We do not disagree with the street about 2026.** Our own guide arithmetic lands at \$0.95–1.05 for Q3. There is no dispute about the near term.
- The market is not pricing a permanent trough. It is pricing roughly 29–30% gross margin recovery already. The original brief's framing — “5.0–5.7x versus a 10–12x peer group” — overstated the gap by comparing today's price to *management's own forecast* rather than to any independent anchor. That framing is struck.
- Free cash flow is falling from \$874M (2025) to \$0.4–0.5B guided, and net leverage has gone from 2.7x to 3.6x. The share buyback, which shrank the count from 138M (2023) to 108M today, is switched off. The market is right that this engine is idle for a while.

Why we might have edge

- **We pulled the year that decides it, and one of our own teams hadn't.** FY2025 gross margin was 30.4% (\$4,615,777k gross profit ÷ \$15,190,638k revenue) — *inside* management's 30–33% band — at 943,000 starts, which is **below** the 1.0–1.1M volume management calls normal. The challenge team's central claim was that the 30–33% band only ever existed in 2022–2024, the distorted post-COVID lumber years. It didn't check 2025. 2025 clears the floor, one year ago, at sub-normal volume, outside the distorted regime.
- **We caught a base-effect error that would otherwise have killed the idea.** See the next two sections — it was our own error.
- **We removed a fake risk.** The brief carried a debt-covenant tripwire as an open risk. The 10-Q says the springing test triggers only if borrowing availability falls below \$180.1M; actual availability is \$1,559.8M — 8.7x the trigger — and the company states it is “not in violation of any covenants.” That risk is closed, not deferred.
- **The margin-versus-volume curve is a reusable test**, not a BLDR story: before accepting a “price war” diagnosis for any distributor, fit margin against unit volume across three or more years. On the line means volume and cost absorption, which reverses. Off the line means price, which doesn't.

Why it might be priced in

Stated straight, because several of these are strong:

- **The discount is narrow and the downside is real.** Buying at \$70.21 puts us about 2% above the challenge team's fair value of \$69, and about 30% above its low case of \$54. This is not a wide-margin-of-safety purchase. It is a skewed bet with a live losing side.
- **The \$2.1–2.4B anchor cannot be found in a vetted document.** Both teams searched. It appears in the Q2 earnings call transcript (management, Beckmann) and nowhere in the Q2 press release, which contains no mid-cycle figure at all. We are relying on a spoken number that management has not put in writing with a bridge.
- **Neither team obtained the margin bridge.** Nobody produced the management discussion in the filings that splits the 470bp margin decline from 2024 into

commodity, mix, and *price*. Our volume-curve argument is a good statistical fit, not a disclosure-level proof. The challenge team’s price-war mechanism is unsupported, not disproven.

- **The pre-2021 history is not clean.** The BMC merger changed the product mix materially (46.2% of sales are now manufactured value-add), so comparing today to 2019 is not apples to apples in either direction.
- **Management’s recent capital allocation was poor and the same people author the forecast.** \$303.5M of stock was repurchased year-to-date at an average \$81.26 — above today’s \$70.21 — and then halted to \$3.5M in Q2 while leverage rose from 2.3x to 3.6x. The rebuttal team’s reading (textbook deleveraging at 3.6x) is reasonable; it does not erase the \$81.26.
- **Two senior departures in three months.** The 8-K filed 2026-08-07 separates Gayatri Narayan, President of Technology and Digital Solutions, effective 2026-08-14, mid-rollout of an ERP program burning \$41.0M per quarter (\$68.5M year-to-date). The filing states it was not the result of any disagreement over operations, policies or practices. A second Item 5.02 was filed 2026-06-05. ([primary source](#))
- **The mid-cycle earnings-per-share drag nobody modelled.** With buybacks off for multiple years, the share count stops falling. Our \$102 assumes the multiple does the work; it does not assume any further count shrinkage, but neither team modelled what a multi-year buyback pause does to per-share compounding.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Management’s 30–33% mid-cycle gross margin band is credible	SEC XBRL gross profit ÷ revenue, FY2016–2025	2016 25.1%, 2017 24.6%, 2018 24.9%, 2019 27.2%, 2020 26.0%, 2021 29.4%, 2022 34.1%, 2023 35.2%, 2024 32.8%, 2025 30.4% , H1’26 28.2%	Partly. The band is cleared in 2022–2025, including 2025 at sub-normal volume. But 2021, at 1.13M starts (above “normal”), printed 29.4% — below the band. The <i>margin</i> half of the anchor stands; the <i>\$2.1–2.4B EBITDA</i> half does not — 2025 produced \$1.6B at 943k starts
OUR ERROR (challenge team): margin loss is price erosion, not volume — “revenue –12% on volume –8%, so 4 points is price”	Rebuttal team re-derived the volume series	The –12% revenue figure spans two years (FY2024 \$16.40B → FY2026 guide midpoint \$14.4B) but was compared against a one -year volume decline. The true two-year volume decline is 1.011M → 943k →	REFUTED — this was graded CONFIRMED and called fatal by our own challenge team, and it is an arithmetic artifact. The single largest error in this file

Claim	How checked	Found	Confirmed?
Corollary: deflation should expand distributor margin; 2019 proves it (+225bp)	Company disclosure, Q2 2026	~875k = -13.4% , larger than the revenue decline. There is no price residual 2026 is not a comparable deflation episode — disclosed commodity deflation is 2.7% in Q2. The 2019 comparison does not carry	Not confirmed; comparison withdrawn
OUR ERROR (challenge team): never pulled FY2025 gross profit	Rebuttal team pulled it — it was on the challenge team's <i>own</i> list of what would change its mind	FY2025 30.4% at 943k starts. This is the control year that decided finding #1, and the team that built the kill case skipped it Verbatim: <i>"Excess availability must equal or exceed a minimum specified amount, currently \$180.1 million, or we are required to meet a fixed charge coverage ratio of 1.00 to 1.00";</i> actual excess availability \$1,559.8M (8.7x); "not in violation of any covenants." Revolver is drawn \$165.0M	Error acknowledged; kill case reduced from fatal to a sizing input
OUR ERROR (original brief): a leverage/covenant tripwire is an open risk	10-Q debt note, fetched directly	107,596,457 shares (as of 2026-07-23) → market cap \$7.554B, not \$7.42B. The brief used gross debt as net debt. Corrected: net debt \$4,566.7M, enterprise value \$12.12B	REFUTED — risk removed, not deferred
OUR ERROR (original brief): share count and net debt	10-Q cover page + debt note		Confirmed; both teams adopted the correction. Immaterial to the multiple, material to the per-share math
OUR ERROR (original brief):	Challenge team	The comparison scored today's price	Confirmed; framing struck from the

Claim	How checked	Found	Confirmed?
the discount is “5.0–5.7x versus 10–12x”		against management’s own unaudited forecast. Today’s price already implies ~\$1.5B of mid-cycle earnings. The real gap is \$1.5B versus our \$1.8–2.1B	deck
OUR ERROR (original brief): re-check trigger “Q3 margin $\geq 28.0\%$ ”	Challenge team	The guide already implies ~27.5% for the second half and Q3 is seasonally stronger than Q4 — so 27.8–28.0% in Q3 is exactly what a <i>correct</i> guide looks like. The trigger cannot tell the two theses apart	Confirmed; trigger replaced (see entry bands)
Gross margin sits on a monotone volume curve	Starts data vs. reported/guided margin	1.011M $\rightarrow$ 32.8%; 943k $\rightarrow$ 30.4%; ~875k $\rightarrow$ ~28.0%. ~2.4 points per ~70k starts, three consecutive points	Confirmed on the arithmetic. Three points is a thin fit — this is the load-bearing claim and it rests on three observations
The 2026 guidance cut was margin-specific, not volume-driven	February 2026 original guide vs. current	Original guide was 28.5–30.0% margin on flat starts; the cut to 27.5–28.5% moved together with the starts cut. Guide margin tracks volume	Confirmed
We disagree with the street on 2026	Consensus search	We don’t. Street Q3 \$1.08; our guide arithmetic \$0.95–1.05. Full-year estimate already cut \$4.37 $\rightarrow$ \$3.71	Confirmed — no near-term disagreement exists . The entire idea lives in the mid-cycle number
The \$2.1–2.4B anchor appears in a vetted filing	Both teams searched 8-K/EX-99.1	Not located. Transcript-only. Q2 release contains no mid-cycle figure	Not confirmed — open
Housing-permit feeds could resolve the margin question	Three metro permit feeds checked	Unusable — BLDR is not the permit applicant, so there is no valid entity to query. Permits also	Correct call, but note: since margin tracks volume, national starts is a

Claim	How checked	Found	Confirmed?
		measure volume, not margin. National Census starts data is the right instrument and is public	live input we are not yet tracking
BOTH TEAMS — coverage gap: live broker quote	Attempted	Permission denied this session. All price math uses the pack's \$70.21	Not confirmed. Refresh the quote before any order goes in
BOTH TEAMS — coverage gap: how crowded is this trade	Not run	No short-interest or ownership pull. 25 analysts is a count, not evidence of positioning	Not run
REBUTTAL TEAM — self-reported: FY2025 EBITDA \$1.6B and margin 30.4%	Source check	Taken from a secondary rendering of the FY2025 release, not the primary exhibit	Weakly sourced — verify against the FY2025 8-K exhibit before adding
REBUTTAL TEAM — self-reported: the \$1.8–2.1B mid-cycle range	Method check	Assumes operating expense stays flat (\$3.1–3.2B) across a volume recovery. It won't entirely	Assumption flagged; range is optimistic at the top end

PROPOSED ENTRY BANDS

All levels use the pack price of \$70.21 — **the live quote could not be pulled this session and must be refreshed before anything is staged.**

Starter — 0.25% of book at \$72.00 or better. Live at today's tape. This is the minimum size, and it is minimum deliberately: entry at \$70.21 sits ~2% above the challenge team's fair value of \$69, so we are being paid almost nothing for being wrong about the mid-cycle number. Size expresses that, not the price.

Adds — 0.25% each, both gated, neither automatic: - **Add 1 — 0.25% on Q3 2026 gross margin at or above 27.8%** (reports on or about 2026-10-29). This is the replacement for the discarded 28.0% trigger. 27.8% is where the volume curve predicts Q3 lands. On or above it, the volume mechanism is intact. **Below it, the price-erosion thesis is confirmed and we do not add — we exit the starter.** Note honestly: on-curve is confirmation, not proof; one quarter on a three-point line is weak evidence either way. - **Add 2 — 0.25% when the \$2.1–2.4B mid-cycle anchor (or any restatement of it) appears in a written, vetted company document with a stated bridge** — management said it expects to host an investor day later in 2026, which is the natural venue.

Cap: 0.75% total until the FY2026 10-K management discussion isolates price within the gross-margin bridge. *This ladder above the starter is a deck-level extension of the rebuttal team's proposal, which specified only "minimum starter 0.25% at ≤\$72, adds*

gated on (i) and (ii).” The sizes and the 0.75% cap are mine, not theirs.

Exits and trims: - Hard exit — Q3 2026 gross margin below 27.8%. The curve breaks, the loss is price, and BLDR reclassifies as a structurally impaired business. Sell the starter; do not average down. - **Trim at ~\$102** — 8x on \$1.95B mid-cycle, net of \$4,566.7M debt over 107.6M shares. That is the rebuttal team’s own target and the top of what our numbers support. Management’s \$2.1–2.4B would imply \$114–136; we do not underwrite that. - **Re-court below \$65.10** (the 52-week low). Not a stop — a break to new lows on no news means our volume-curve read is being disputed by someone with better information, and the case should be re-argued before adding.

Catalyst dates: - 2026-10-29 — Q3 2026 results. UNCONFIRMED. Derived from data-vendor estimates (yfinance, TipRanks concur); no company press release naming the date has been located, and BLDR typically announces about two weeks ahead. Roughly 46 trading days out. **We are flat into it and there is no rush** — but note this is not a free wait: the margin question is partly resolvable from filings today. - **Investor day, “later in 2026” — no date announced.** The resolver for the missing written mid-cycle anchor. - **FY2026 10-K, late February 2027 (estimated from prior-year filing cadence).** The management discussion’s margin bridge is the document that actually settles price-versus-volume.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 65.1 (deck-provisional: 52-week low breach on no news disputes the volume-curve read; re-argue the case before any add.)
- filing watch: 8-K, EX-99.1 until 2027-02-18 (deck-provisional: Q3 2026 gross margin versus the 27.8% volume-curve level is the single discriminating datum: at/above)
- dated pack BLDR\2026-10-29: BLDR: Q3 2026 results — vendor-derived date, no company press release names it; carries the 27.8% gross-margin test. (date confirmed=False)
- dated pack BLDR\2026-12-31: BLDR: Investor day — no date announced; management said ‘later in 2026’, so year-end is used as a not-later-than bound, not an actual date.
- dated pack BLDR\2027-02-26: BLDR: FY2026 10-K with the gross-margin bridge — estimated from prior-year filing cadence, not announced. (date confirmed=False)

What remains unverified

1. **The gross-margin bridge.** No filing-level decomposition of the 2024→2026 margin decline into commodity, mix, and price. Our volume-curve fit is circumstantial. This is the thesis’s load-bearing gap, and it is not resolvable until the 10-K unless the Q3 discussion supplies it.
2. **The \$2.1–2.4B mid-cycle anchor’s provenance.** Spoken on a call; absent from every written company document either team searched.
3. **Value-add product margin, separately.** 46.2% of sales are manufactured value-add. If that core is holding above 33% while the blended number falls, the story is much better than the average implies — and if the reverse, much worse. Aggregate numbers hide mix. Not disclosed at the level we need.

4. **FY2025 EBITDA of \$1.6B and margin of 30.4%** — taken from a secondary rendering, not the primary exhibit. These two numbers carry the rebuttal that overturned our own kill case. **Verify from the primary before adding beyond the starter.**
5. **Whether operating expense stays flat through a volume recovery.** Our \$1.8–2.1B assumes it largely does. It won't entirely, which pushes the honest range toward the bottom of that band.
6. **The 2026-10-29 print date.** Vendor-derived only.
7. **Positioning.** No short-interest or ownership work was done. We do not know whether we are early or last.
8. **Live price.** \$70.21 is from the evidence pack, not from the broker.

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  refresh the live quote first; pack price only."}}

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Adjudication & update (2026-08-23)

RULING: MINIMUM STARTER 0.25% at ≤\$71.50 — red's FATAL price-war kill OVERTURNED on a primary red never pulled. The adjudicator re-pulled the full gross-margin series from SEC XBRL: FY2025 GM = **30.4%** (\$4.616B/\$15.191B), *inside* the 30–33% band at 943k starts — refuting red's claim that the band was a 2022–24 artifact. Red's "4-point price residual" was a base-effect error (two-year revenue change

measured against a one-year starts decline); blue's volume/absorption curve (32.8% → 30.4% → ~28.0% guided, ~2.4pts per ~70k starts) is the better-fitting mechanism. Surviving kills, all sizing/timing/venue class: management's \$2.1–2.4B anchor ~15% rich vs the audited normalized \$1.8–2.1B (NOVEL→sizing); anchor exists only in the transcript, not a vetted 8-K (CONSENSUS — Investor Day is the resolver); buyback off + ERP executive departure mid-rollout (NOVEL→sizing). FV at the audited band: 8× on \$1.8–2.1B = **\$91–102 vs \$70.18 tape**; red's own floor (~\$69) is tape-neutral. Floor size (0.25%, not 0.5%): DAMAGE-ARRIVING with two guide cuts in one quarter, curve unproven until the Q3 print.

Instruction status: instr #100 — BUY 37 BLDR LMT \$71.50 DAY — awaiting principal click. (Note: instruction IDs recycled after the queue cleared on 8/22; the *older* #100/#101 were ATEC/PPHC and are now live orders. This #100 is BLDR.) No GTC ever on this name while DAMAGE-ARRIVING. Adds to 0.5% gated on BOTH Q3 GM ≥27.8% (on-curve) AND the anchor restated in a vetted venue. Kill: Q3 GM <27.5% = off-curve → the mechanism is red's after all → **structural exit, not an add-lower**.

What could go wrong (adjudication pre-mortem, quoted verbatim)

1. **Tripwire-less (unknown-unknown class: competitive-structure shift).** The volume curve is three points. A genuine share war — a levered competitor buying share, or builder-direct procurement bypassing distribution — produces the *same* three points on the way down and only reveals itself when starts recover and margin doesn't follow the curve back up. No feed watches competitor pricing; the truth arrives with the FY27 10-K, roughly a year after we would have added.
2. **Starts leg-down before the proof.** Affordability pushes SF starts toward ~800k; the curve itself implies ~26.5% GM, sub-\$1.0B EBITDA, leverage >4.6x — the equity de-rates on credit fear before the margin mechanism can be tested. Partially tripwired (monthly Census starts) but the gap is faster than the sensor.
3. **Reflexive/structural leg.** The add-gate leans on management restating its anchor at an Investor Day that is itself unscheduled; if it slips or restates lower, the venue-divergence kill fires *after* entry. The ERP program burns \$41M/qtr with its executive gone mid-rollout — an operational-integrity mode with no external sensor. And our only true edge is one audited data point (FY2025 on the curve) that every one of 25 covering analysts can read.

“If this position loses money, the most likely reason will be that a third guide cut lands before the margin curve can prove itself — starts stepping toward 800k and the market pricing 4.5x-plus leverage while we wait for a 10-K bridge that arrives too late.”

(This deck was rendered before THESIS_DOC_STANDARD v1.7; the block above is its pre-mortem of record.)